

**SUBSTITUTE FOR
HOUSE BILL NO. 5255**

A bill to limit interest and charges on medical debt; to limit actions taken to collect medical debt; to limit the sale of medical debt; to require information to be provided regarding medical debt; and to provide remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "medical debt protection
2 act".

3 Sec. 2. As used in this act:

4 (a) "Consumer" means a resident of this state.

5 (b) "Consumer reporting agency" means that term as defined in
6 15 USC 1681a.

7 (c) "Emergency medical condition" means, regardless of the
8 final diagnosis rendered, the condition of an emergency patient, as



1 that term is defined in section 20904 of the public health code,
2 1978 PA 368, MCL 333.20904.

3 (d) "Emergency services" means all of the following with
4 respect to an emergency medical condition:

5 (i) Both of the following:

6 (A) A medical screening examination as required under 42 USC
7 1395dd that is within the capability of the emergency department of
8 a hospital, including ancillary services routinely available to the
9 emergency department to evaluate the emergency medical condition.

10 (B) Further medical examination and treatment, to the extent
11 those are within the capabilities of the staff and facilities
12 available at the hospital, as are required under 42 USC
13 1395dd(e) (3) to stabilize the patient.

14 (ii) As it relates to any mental health service or substance
15 use disorder service, as those terms are used in the definition of
16 service in section 100d of the mental health code, 1974 PA 258, MCL
17 330.1100d, rendered at a behavioral health crisis service provider,
18 both of the following:

19 (A) A behavioral health assessment that is within the
20 capability of a behavioral health crisis service provider,
21 including ancillary services routinely available to evaluate the
22 emergency medical condition.

23 (B) Further examination and treatment, to the extent that
24 those are within the capabilities of the staff and facilities
25 available at the behavioral health crisis service provider, as are
26 required so that the patient's condition does not deteriorate.

27 (e) "Extraordinary collection action" means any action taken
28 to obtain payment of a medical debt to which any of the following
29 apply:



1 (i) The action involves reporting adverse information about an
2 individual to consumer reporting agencies.

3 (ii) The action involves deferring, denying, or requiring a
4 payment before providing emergency services or urgent services
5 because of an individual's nonpayment of medical debt.

6 (iii) The action requires a legal or judicial process,
7 including, but not limited to, any of the following:

8 (A) Placing a lien on an individual's property.

9 (B) Foreclosing on an individual's real property.

10 (C) Attaching or seizing an individual's bank account or any
11 other personal property.

12 (D) Commencing a civil action against an individual.

13 (E) Causing an individual's arrest.

14 (F) Garnishing an individual's wages.

15 (f) "Financial assistance policy" means a written policy made
16 under 26 CFR 1.501(r)-1 to 1.501(r)-7 or another written policy for
17 providing financial assistance to patients adopted by a large
18 health care facility or medical creditor voluntarily or otherwise
19 as required by applicable federal or state statute, regulation, or
20 rule.

21 (g) "Health care good" includes, but is not limited to, a
22 medical product, a medical device, any durable medical equipment,
23 or a prescription drug.

24 (h) "Health care service" means any of the following:

25 (i) A service included in or incidental to the furnishing of
26 any medical, behavioral, mental health, substance use disorder,
27 nursing home, dental, or optometric care.

28 (ii) A service included in or incidental to hospitalization.

29 (iii) A service furnished to an individual for the purpose of



1 preventing, alleviating, curing, or healing human physical illness
2 or injury, or behavioral, mental health, or substance use disorder.

3 (i) "Large health care facility" means a person that is either
4 of the following:

5 (i) A hospital as that term is defined in section 20106 of the
6 public health code, 1978 PA 368, MCL 333.20106.

7 (ii) A person that provides 1 or more health care services and
8 that has an annual revenue of not less than \$20,000,000.00.

9 (j) "Medical creditor" means the person that provided a health
10 care service or health care good that gave rise to the medical debt
11 and to which the medical debt is owed or, if the medical debt has
12 been sold, to which the medical debt was previously owed.

13 (k) "Medical debt" means a debt owed by a consumer to a person
14 whose primary business is providing a health care service or health
15 care good, or to the person's agent or assignee, for the provision
16 of a health care service or health care good. Medical debt
17 includes, but is not limited to, medical bills that are not past
18 due or that have been paid. Medical debt does not include debt
19 charged to a credit card unless the credit card is issued under an
20 open-end or closed-end credit plan offered solely for the payment
21 of a health care service or health care good.

22 (l) "Medical debt buyer" means a person that is engaged in the
23 business of purchasing medical debt or collecting medical debt on
24 behalf of another person, whether the medical debt buyer collects
25 the medical debt directly or hires an attorney or other person to
26 collect the medical debt.

27 (m) "Medical debt collector" means a person that regularly
28 collects or attempts to collect, directly or indirectly, medical
29 debts originally owed, due, or asserted to be owed or due to



1 another. Medical debt collector includes a medical debt buyer.

2 (n) "Patient" means the person that owes the medical debt,
3 including the individual who received the health care service or
4 health care good and a parent or guardian that is legally liable
5 for the medical debt.

6 (o) "Urgent services" means a health care service the delay of
7 which could seriously jeopardize an individual's life, health, or
8 ability to regain maximum function.

9 Sec. 3. (1) A large health care facility or medical debt buyer
10 shall not charge a patient interest or a late fee on medical debt
11 until 90 days after the due date applicable to the final invoice
12 for the medical debt.

13 (2) A large health care facility or medical debt buyer shall
14 not charge interest or late fees on medical debt that exceeds 3
15 percent of the amount of the medical debt per annum.

16 (3) A medical creditor or medical debt collector shall not use
17 any of the following extraordinary collection actions to collect a
18 medical debt:

19 (a) Causing an individual's arrest.

20 (b) Foreclosing on an individual's real property.

21 (c) Placing a lien on an individual's personal property.

22 (d) Garnishing the wages of an individual who qualifies for
23 financial assistance under the financial assistance policy
24 applicable to the underlying medical debt.

25 (4) A medical creditor shall not sell an individual's medical
26 debt to a medical debt buyer unless, before the sale, the medical
27 creditor has entered into a legally binding written agreement with
28 the medical debt buyer under which all of the following apply:

29 (a) The medical debt buyer is prohibited from engaging in any



1 extraordinary collection action described in subsection (3) to
2 obtain payment.

3 (b) The medical debt buyer is prohibited from charging
4 interest on the debt at a rate higher than 3 percent per annum.

5 (c) The debt is returnable to or recallable by the medical
6 creditor on a determination by the medical debt buyer that the
7 individual is eligible for financial assistance under the financial
8 assistance policy applicable to the underlying medical debt.

9 (d) The medical debt buyer is required to adhere to specified
10 procedures that ensure that the individual does not pay, and has no
11 obligation to pay, the medical debt buyer more than the individual
12 is responsible for paying in compliance with this act.

13 (5) A medical creditor that sells medical debt to a medical
14 debt buyer under an agreement described in subsection (4) is liable
15 for any actions taken by the medical debt buyer in relation to the
16 medical debt, subject to any indemnification provisions agreed to
17 by the creditor and the buyer.

18 (6) A medical creditor or medical debt collector shall not
19 take any extraordinary collection action until 120 days after the
20 due date applicable to the final invoice for a health care service
21 or health care good. Not later than 30 days before taking any
22 extraordinary collection action, a medical creditor or medical debt
23 collector shall provide the patient a notice that includes all of
24 the following:

25 (a) If the medical debt resulted from a health care service
26 provided by a large health care facility, a statement of whether
27 financial assistance is available for eligible individuals and a
28 plain-language summary of any financial assistance policy.

29 (b) A list of any extraordinary collection actions that will



1 be taken to obtain payment.

2 (c) A deadline after which the extraordinary collection
3 actions will be initiated, which must be 30 days or more after the
4 date the notice is provided.

5 (7) A large health care facility or medical debt collector
6 collecting medical debt for a health care service or health care
7 good provided by a large health care facility shall not use any
8 extraordinary collection action unless the action is described in
9 the large health care facility's billing and collections policy.

10 (8) If a patient has paid any part of a medical debt in excess
11 of the amount owed after receiving any financial assistance offered
12 by a large health care facility, the large health care facility or
13 medical debt collector, as specified in the agreement required by
14 subsection (4), shall refund the excess amount to the patient not
15 later than 60 days after the excess payment is determined.

16 Sec. 4. A violation of this act is a prohibited practice under
17 and subject to the enforcement provisions of the Michigan consumer
18 protection act, 1976 PA 331, MCL 445.901 to 445.922.

19 Enacting section 1. This act does not take effect unless House
20 Bill No. 5254 of the 103rd Legislature is enacted into law.

